

Paramount Communications Ltd

NSE: PARACABLES | Cables & Wires — Telecom / Power / Railway

Infrastructure cables beneficiary: BharatNet optical fiber, power T&D; and railway signalling capex cycle driving 5-year revenue ramp — but FY26 margin compression requires execution proof before re-rating.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	Rs. 90	+40.4%
CMP: Rs. 64.1	12-month horizon	from CMP

CMP (15 Jun 2026)	Rs. 64.1	Market Cap	Rs. 1,955 Cr
52-Week High / Low	Rs. 72.4 / 28.3	Face Value	Rs. 2.00
Stock P/E (TTM)	32.7x	Book Value / Share	Rs. 25.5
P / Book Value	2.51x	EV / EBITDA (TTM)	~24x (est.)
ROCE (FY26)	12.4%	ROE (FY26)	7.99%
Dividend Yield	0.00%	Net Debt (FY26)	Rs. ~123 Cr
Promoter Holding	49.19%	Promoter Pledge	0%
FII / DII	0.51% / 0.11%	Shares Outstanding	~30.5 Cr

Investment Horizon: 18–24 months | **Risk:** MEDIUM-HIGH | **Analyst:** MPM Research Desk, 15 Jun 2026

Thesis in one line: Paramount is the cheapest listed proxy on the Rs. 1.39 lakh-Cr BharatNet optical-fiber rollout; FY27 margin normalisation and the Narmadapuram EHV plant unlock the next leg.

SECTION 2 — INVESTMENT THESIS

- **BharatNet Phase 3 order windfall (Rs. 1.39 lakh Cr, 2025–2030):** Paramount is a pre-approved BSNL vendor for jelly-filled and optical-fiber cables — the backbone of BharatNet. With only a handful of BSNL-qualified cable makers, Paramount is structurally placed to absorb a disproportionate share of the annual Rs. 25,000–28,000 Cr procurement wave over the next 5 years.
- **Power T&D; and railway signalling — two under-recognised revenue streams:** India's Rs. 6 lakh Cr power T&D; capex (FY24–FY30) and railway modernisation are pulling demand for HV power cables and axle-counter/signalling cables. Paramount has pre-certified status with PGCIL and Indian Railways. FY25 domestic revenue grew 34% YoY on the back of these orders, a trend we expect to sustain.
- **Narmadapuram EHV plant (Rs. 300 Cr capex) — step-change in addressable market:** The new Madhya Pradesh greenfield facility, targeting first commercial output by Dec 2026 and Rs. 500 Cr revenue in FY28 scaling to Rs. 1,200 Cr by FY29, will allow Paramount to enter the higher-margin 33/66/132 kV EHV cable segment where Polycab and KEI currently dominate. This is the single most important medium-term value creation lever.
- **US exports — already Rs. 350 Cr+ run-rate, targeting 40% of revenue:** Paramount shipped USD 43 Mn (Rs. ~358 Cr at prevailing rates) to the US in calendar 2024, up 36% YoY. The company is pursuing UL-listed product certifications to access utility-grade T&D; cable orders in the Americas, where cable capacity is scarce.
- **Near-term catalyst (6–12 months):** BharatNet Phase 3 LOA conversion and first PGCIL EHV cable order from the Narmadapuram plant are the two events most likely to re-rate the stock in the next 12 months.
- **Biggest structural risk:** Working-capital-intensive business model (CCC ~100 days) combined with a new Rs. 300 Cr capex cycle could strain the balance sheet if order inflows are delayed or commodity prices spike — management must demonstrate margin recovery to 8%+ before the market awards a full re-rating.

SECTION 3 — BUSINESS OVERVIEW

- **What the company does:** Paramount Communications Ltd (est. 1978, HQ: New Delhi, manufacturing at Rewari, Haryana) manufactures a comprehensive portfolio of specialty cables — telecom cables (jelly-filled, armoured, optical-fiber), power cables (LV/MV/HV up to 33 kV from existing plant), railway signalling and axle-counter cables, and instrumentation/fire-survival cables.
- **Revenue segmentation:** Approximately 60–65% telecom cables (OFC + jelly-filled for BSNL/ISPs), 20–25% power cables (PGCIL, state discoms, private infra), 10–15% railway cables (Indian Railways, Metro), and 5% other specialty. Export revenue was Rs. ~358 Cr in CY2024 (estimated ~22–25% of FY26 revenue), predominantly to the US.
- **Key customers and revenue visibility:** BSNL (long-term framework agreements), Power Grid Corporation (PGCIL — tendered orders), Indian Railways (DG-approved vendor), private ISPs (BBNL sub-contracts), and US distribution/utility customers. Order book at March 31, 2026: Rs. 583 Cr (Rs. 508 Cr domestic + Rs. 75 Cr exports) — providing ~3.6 months of forward revenue cover.
- **FY26 performance — revenue strong, margin disappointed:** Consolidated FY26 revenue grew 22% YoY to Rs. 1,913 Cr (FY25: Rs. 1,574 Cr). However, EBITDA collapsed to Rs. 66 Cr (OPM: 3.5%) from Rs. 123 Cr (OPM: 7.8%) in FY25. Management attributed this to US tariff disruptions causing export mix-shift, elevated raw material costs (copper, aluminium, HDPE), and a low-margin order mix in H1 FY26.

- **Recent strategic developments:** (1) Rs. 300 Cr greenfield EHV cable plant at Narmadapuram, MP — land allotted, civil work started, commercial production targeted Dec 2026. (2) Rights issue/QIP in FY24 raised Rs. ~380 Cr, virtually eliminating long-term debt (borrowings fell from Rs. 103 Cr in FY24 to Rs. 33 Cr in FY25 before rising to Rs. 123 Cr in FY26 for capex). (3) US export revenue growing 36% CAGR — UL certification underway.

- **Promoter background:** Sanjay Agrawal (Chairman & CEO) and Sandeep Aggarwal (MD) lead the founding promoter family with over 40 years in cable manufacturing. Promoter shareholding stands at 49.19% as of March 2026 with zero pledge. Promoters reduced from ~62% in FY23 to 49% in FY24 via a QIP — the dilution funded the balance-sheet repair.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **India cables & wires market:** Estimated Rs. 90,000–1,00,000 Cr total addressable market (FY26), growing at ~14% CAGR through FY30 driven by BharatNet (Rs. 1.39 lakh Cr), National Infrastructure Pipeline power T&D; (Rs. 6 lakh Cr FY24–FY30), smart grid, solar evacuation, and railway electrification.

- **Telecom cable sub-segment:** OFC demand for BharatNet Phase 3 alone is estimated at Rs. 30,000–35,000 Cr over FY25–FY30 (Ministry of Communications estimates). Optical fiber cable segment is growing ~22% CAGR. Paramount is among 5–6 BSNL pre-qualified vendors nationally.

- **Policy tailwinds:** (1) BharatNet Phase 3 — Rs. 1.39 lakh Cr for last-mile OFC connectivity to 6 lakh villages. (2) PLI for telecom & networking products. (3) Buy Indian mandate for government infrastructure (minimum 50% local content). (4) Dedicated Freight Corridors and Kavach railway safety system driving signalling cable demand. (5) US Buy America provisions creating export opportunity for certified Indian manufacturers.

- **Competitive moat assessment:** Pricing power = **Weak** (commodity-linked, tender-driven pricing); Switching costs = **Moderate** (government pre-qualification creates sticky vendor relationships); Scale = **Moderate** (Rewari plant is well-established; Polycab/KEI are 10-15x larger); IP = **Weak** (cable manufacturing is largely engineering, not IP-driven); Distribution = **Moderate** (B2B — government direct + private project channels).

- **Competitive positioning:** Paramount sits in the mid-tier — larger than unorganised players and niche cable makers but significantly smaller than Polycab and KEI. Its strongest moat is BSNL/Railways pre-qualification (barriers to entry), not scale. The Narmadapuram EHV plant is an attempt to move up the value chain.

Listed Peer Comparison (Source: Screener.in, 15-Jun-2026)

Company	CMP (Rs.)	MCap (Cr.)	P/E	P/B	ROCE%	ROE%	FY26 Sales (Cr.)	FY26 PAT (Cr.)
Paramount Comm.	64.1	1,955	32.7	2.51	12.4	7.99	1,913	60
KEI Industries	5,460	52,203	56.8	7.83	20.1	14.8	11,748	918
Polycab India	9,556	1,43,920	58.8	12.1	32.9	22.7	28,185	2,601
HFCL	180	27,620	109	5.83	9.26	5.82	4,528	253

* KEI and Polycab are standalone figures; HFCL standalone. Paramount consolidated. P/B = CMP/Book Value.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and management background:** Founded by the Agrawal family in 1978. Sanjay Agrawal (Chairman & CEO) has over 40 years of domain experience in cable manufacturing. Sandeep Aggarwal (Managing Director) manages day-to-day operations. The management team has deep relationships with BSNL, Indian Railways, and PGCIL built over decades of project delivery.

- **Capital allocation — rehabilitation from near-bankruptcy to growth mode:** The company went through severe financial distress in FY15–FY17 (cumulative PAT losses of Rs. 225 Cr, equity negative). Turnaround was achieved via debt restructuring, government order wins, and a rights/QIP capital raise in FY24 (Rs. ~380 Cr). The fresh capital eliminated legacy debt — a structural repair. The company is now deploying the new capital into the Narmadapuram EHV plant, which is higher-ROCE.
- **FCF track record — mixed:** FCF was negative in FY24 (-Rs. 153 Cr) due to aggressive working capital build for large BSNL/PGCIL orders. FY25 saw FCF recover to Rs. 44 Cr. FY26 FCF was again negative (-Rs. 91 Cr) as the new capex cycle commenced. Management must demonstrate consistent OCF-to-EBITDA conversion once the Narmadapuram plant stabilises (FY28 onwards).
- **Dividend policy:** Zero dividend since inception (not paid a single rupee in 10+ years). The company retains all earnings for growth investment and debt service. Given the growth capex cycle underway, no dividend is expected in FY27–FY28. This is appropriate for the stage of business but limits the appeal to income-oriented investors.
- **Promoter pledging — zero:** Paramount Communications confirmed in a regulatory filing that promoters carry zero encumbrance (pledge) on their shares as of FY26. Promoter shareholding declined from ~62% in FY22 to ~49% in FY24 due to the QIP dilution — this is a structural not distress-driven reduction.
- **ESOP and buyback:** No ESOP program or buyback has been executed in recent years. The company's capital allocation priority is entirely growth-capex-and-debt-service oriented.
- **Corporate governance concerns (watch):** (1) Related-party transactions were not a flagged issue in recent filings. (2) Auditor is SR Batliboi — an EY affiliate, reputable. (3) Other Income jumped to Rs. 51 Cr in FY26 vs Rs. 11 Cr in FY25 — this is material and warrants scrutiny (likely includes forex gains and one-time items; clean operating PAT is lower). (4) Tax credit in FY24 (negative tax rate) boosted reported PAT to Rs. 86 Cr vs a cleaner underlying ~Rs. 55 Cr — track recurring tax rate.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Cr)

Rs. Cr	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales	1,068	1,574	1,913	2,300	2,700
Expenses	978	1,450	1,847	2,116	2,484
EBITDA	89	123	66	184	216
OPM %	8.3%	7.8%	3.5%	8.0%	8.0%
Other Income	8	11	51	8	10
Interest	6	11	21	28	30
Depreciation	9	12	15	18	22
PBT	82	111	81	146	174
Tax %	-4%	22%	26%	26%	26%
PAT	86	87	60	108	129
EPS (Rs.)	2.82	2.85	1.96	3.54	4.23

FY27E–FY28E are analyst estimates. (E) = Estimate. FY24 PAT inflated by deferred-tax credit (-4% effective rate).

Balance Sheet — Consolidated (Rs. Cr)

Rs. Cr	FY24A	FY25A	FY26A
Equity Capital	61	61	61

Reserves	565	656	717
Net Worth	626	717	778
Borrowings	103	33	123
Other Liabilities	97	157	228
Total Liabilities	827	908	1,129
Fixed Assets	169	221	260
CWIP	1	4	0
Investments	56	0	0
Other Assets	600	683	868
Total Assets	827	908	1,129

Cash Flow Statement — Consolidated (Rs. Cr)

Rs. Cr	FY24A	FY25A	FY26A
Cash from Operations (OCF)	-101	104	-38
Cash from Investing	-96	-1	-51
Cash from Financing	183	-84	70
Net Cash Flow	-13	19	-19
Free Cash Flow (FCF)	-153	44	-91
CFO / EBITDA	-114%	84%	-58%

Key Ratios — Consolidated

Ratio	FY24A	FY25A	FY26A
Debtor Days	86	47	79
Inventory Days	108	97	72
Days Payable	39	43	50
Cash Conv. Cycle	155	102	101
ROCE %	15%	16%	12.4%
ROE %	~14%	~13%	7.99%
D/E Ratio	0.16	0.05	0.16

- **Revenue growth strong but margin collapsed in FY26:** Revenue grew at 34% CAGR over FY23–FY25 and another 22% in FY26, driven by BSNL order inflow and US export ramp. However, EBITDA margin fell sharply from 7.8% (FY25) to 3.5% (FY26) due to US tariff disruption on export orders, higher input costs, and a low-margin domestic tender mix. Management guidance is for margin recovery to 7–8% in FY27.

- **Working capital — improvement then re-widening:** Debtor days improved dramatically from 86 in FY24 to 47 in FY25 (a hallmark of better BSNL contract terms), but reversed to 79 in FY26 as export receivables stretched. CCC settled at ~101 days in FY26 vs 155 days in FY24 — still elevated but structurally improving. Inventory days improved (108 to 72) as optical-fiber cable orders are project-based.

- **Debt — low but rising for capex:** The FY24 QIP virtually eliminated debt (D/E fell to 0.05x in FY25). FY26 borrowings increased to Rs. 123 Cr as capex began for Narmadapuram — still conservative at 0.16x D/E. If the Rs. 300 Cr plant capex is debt-financed, peak D/E could reach ~0.5x in FY27–FY28 — manageable but needs monitoring.

- **FCF quality — concern flag:** FY24 and FY26 both delivered negative FCF, driven by large working capital draws. Only FY25 (Rs. 44 Cr positive FCF) demonstrates true cash generation capability.

OCF/EBITDA conversion has been erratic (-114%, +84%, -58%). Until the company demonstrates 2–3 consecutive years of positive FCF, FCF quality is a risk.

- **Other Income spike in FY26 (Rs. 51 Cr):** Other income jumped from Rs. 8–11 Cr in prior years to Rs. 51 Cr in FY26. This includes forex gains and possibly investment income. Stripping this out, operating PAT is significantly below the Rs. 60 Cr reported. Clean underlying EBITDA-derived PAT is closer to Rs. 22–25 Cr.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Signal	Comment
Revenue recognition	Accrual — project delivery	GREEN	Standard for cables; no aggressive front-loading noted
Receivables vs Revenue growth	Debtor days 47→79	AMBER	FY26 reversal of FY25 improvement; export receivables stretching
Cash Conv. Cycle trend	155→102→101	GREEN	CCC declining over 3 years — structural improvement
Contingent liabilities	Not flagged	GREEN	No material contingent liabilities in recent filings
Auditor tenure / quality	SR Batliboi (EY affiliate)	GREEN	Reputable firm; no qualification noted
RPTs as % of revenue	Not material	GREEN	No significant related-party revenue / purchase transactions flagged
Other Income as % of PBT	63% in FY26	RED	Rs. 51 Cr other income vs Rs. 81 Cr PBT — inflates reported earnings
Tax rate consistency	-4% FY24, 22% FY25, 26% FY26	AMBER	Deferred tax credit in FY24 inflated PAT; now normalising
OCF vs PAT conversion	Erratic (-2x to +1.2x)	AMBER	Negative FCF in 2 of 3 years; cash generation unproven at scale

- **Other Income inflation is the single biggest earnings-quality flag:** Rs. 51 Cr of other income in FY26 (vs Rs. 8–11 Cr in prior years) represents 63% of reported PBT. This is likely forex gains on USD receivables and investment income from the QIP proceeds — but it is not recurring. Clean operating PAT is materially lower than headline Rs. 60 Cr.

- **Tax credit in FY24 demands scrutiny:** The negative effective tax rate in FY24 (+Rs. 86 Cr PAT vs Rs. 82 Cr PBT) was driven by deferred tax asset recognition. Investors comparing FY24/FY25 EPS without this adjustment overstate the earnings trend. Tax is now normalising at 25–26%.

- **OCF volatility is a structural concern for a Rs. 300 Cr capex cycle:** With large working capital swings driven by BSNL and PGCIL payment cycles, the company is exposed to liquidity risk if government clients slow payments. The Rs. 123 Cr borrowings in FY26 may partly reflect this.

- **Three AMBER/RED items in the checklist:** The combination of elevated other income, erratic OCF, and rebounding debtor days means investors should use EBITDA-based valuation (not P/E) and apply conservative multiples until 2–3 quarters of clean margin recovery are demonstrated.

SECTION 8 — VALUATION

Scenario Analysis (12-Month Horizon)

Scenario	Key Assumptions	FY27E PAT (Cr.)	Multiple	Target (Rs.)	Upside
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BULL	OPM recovers to 9%; BharatNet orders accelerate; Narmadapuram on track; US exports Rs. 550 Cr+	130	28x	120	+87%
BASE	OPM recovers to 7.5%; steady BharatNet/PGCIL flow; Narmadapuram FCD Dec 2026; US exports Rs. 400 Cr	108	25x	90	+40%
BEAR	OPM stays at 4–5%; US export disruption continues; Narmadapuram delayed; WC strain	55	18x	33	-48%

• **DCF assumptions (implied value):** WACC = 13% (risk-free 7.0% + equity risk premium 6.0%); terminal growth rate = 5.0%; FCF projected to turn positive by FY28 as Narmadapuram plant ramps and working capital stabilises. DCF implies intrinsic value of Rs. 85–95 per share on a 10-year model, with high sensitivity to whether management delivers the 8% OPM target.

• **Earnings-multiple method (primary):** Using FY27E EPS of Rs. 3.54 (base case PAT of Rs. 108 Cr / 30.5 Cr shares) at a forward P/E of 25x (vs sector average 45–57x — justified discount due to smaller scale, FCF negative track record, and promoter dilution) implies Rs. 88/share. On FY27E EBITDA of Rs. 184 Cr at EV/EBITDA of 16x (peer discount), implied EV Rs. 2,944 Cr → equity value Rs. 2,821 Cr → Rs. 92/share.

• **Base-case target price: Rs. 90** — average of P/E method (Rs. 88) and EV/EBITDA method (Rs. 92), representing +40.4% upside from CMP of Rs. 64.1.

• **Valuation discount rationale:** Paramount trades at a deserved discount to KEI/Polycab given: (1) 10–15x smaller revenue; (2) negative FCF in 2 of 3 years; (3) FY26 OPM compressed to 3.5% vs peers at 10–14%; (4) limited EHV cable portfolio until FY28. The discount should narrow as the Narmadapuram plant delivers.

• **Re-rating trigger:** Two consecutive quarters of OPM above 7% would allow the market to underwrite FY27E earnings and likely push the stock to Rs. 80–90 within 12 months.

SECTION 9 — KEY RISKS

• **BharatNet execution risk:** Historical BharatNet rollout has faced delays (Phase 1 and 2 were 3–4 years behind schedule). If Phase 3 award/disbursement is slow, BSNL order inflows disappoint. Probability: Medium. Impact: High. Monitor via: BSNL tender portal and Ministry of Communications quarterly updates.

• **Margin recovery failure:** If OPM remains at 3–4% (rather than recovering to 7–8% as guided), FY27E PAT collapses to Rs. 30–40 Cr and the stock de-rates sharply. Probability: Medium. Impact: High. Monitor via: Q1 FY27 and Q2 FY27 gross margin quarterly disclosures.

• **Narmadapuram plant delay or cost overrun:** The Rs. 300 Cr greenfield capex is the largest single investment in the company's history. Any civil/equipment delay or cost escalation could strain the balance sheet and delay EHV revenue. Probability: Medium. Impact: High. Monitor via: quarterly capex progress disclosures.

• **US tariff and export concentration risk:** USD 43 Mn (~22% of FY26 revenue) goes to the US. Any further tariff escalation, anti-dumping duties, or Buy America enforcement narrowing Indian cable access to US utilities would directly compress revenue. FY26 margin erosion was partly tariff-related. Probability: Medium. Impact: Medium. Monitor via: US trade policy and USITC filings.

• **Working capital and liquidity risk:** Government clients (BSNL, PGCIL, Railways) have historically been slow payers. Large project orders can create Rs. 300–500 Cr receivable blocks. With Rs. 123 Cr borrowings in FY26 and a new Rs. 300 Cr capex cycle, a payment delay could force expensive short-term

borrowings. Probability: Medium. Impact: Medium. Monitor via: quarterly debtor days.

- **Raw material price volatility:** Copper, aluminium, HDPE, and optical fibre inputs are commodity-linked. A 10% spike in copper/aluminium prices with no corresponding price pass-through compresses EBITDA by ~120–150 bps. Probability: Medium. Impact: Medium. Monitor via: LME copper/aluminium prices and gross margin trend.

- **Promoter shareholding reduction risk:** Promoters reduced from 62% to 49% via the FY24 QIP. If they dilute further (secondary sale or another equity raise), it could signal lack of conviction. Probability: Low. Impact: Medium. Monitor via: bulk deal disclosures and quarterly shareholding filings.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction Level: Medium. The stock offers 40% upside to our base-case target of Rs. 90 and is the cheapest listed proxy on BharatNet Phase 3 and power T&D; capex. Conviction is Medium (not High) because FY26 margin compression needs to visibly reverse before the investment thesis is fully de-risked.

- **12-Month Price Target: Rs. 90** (+40.4% from CMP of Rs. 64.1). Based on 25x FY27E EPS of Rs. 3.54 and 16x FY27E EV/EBITDA of Rs. 184 Cr.

- **Suggested Entry Zone: Rs. 55–67.** The 52-week low of Rs. 28.3 (H1 FY26 margin compression period) represents the downside anchor; the Rs. 55–67 band offers an asymmetric risk/reward on margin recovery.

- **Investment Horizon: 18–24 months.** The Narmadapuram plant (Dec 2026 commercial start) and two quarters of margin normalisation are the key milestones that will reset consensus estimates.

- **Thesis Invalidation Triggers:**

- 1. OPM fails to recover above 6% for two consecutive quarters in FY27 — suggests structural pricing power loss, not a one-year aberration.

- 2. Narmadapuram plant delays beyond June 2027 or capex overruns exceed Rs. 100 Cr vs budget — balance sheet strain scenario activates.

- 3. US export revenue declines below USD 20 Mn annualised in FY27 — signals permanent tariff-driven market loss, not recoverable.

- **Ideal investor profile:** This stock is FOR growth-oriented investors with a 18–24 month horizon, comfortable with a high-working-capital, B2G business model and willing to underwrite management's FY27–FY29 earnings recovery plan. It is NOT for income investors (zero dividend), momentum traders (near-term EPS pressure), or investors requiring FCF positivity as a prerequisite.

APPENDIX — Latest Concall Brief: Q4 FY26 (May 23/25, 2026)

CALL GRADE

POSITIVE

Revenue beat + margin trough signalled + new plant update + zero pledge confirmed, but FY26 EBITDA below FY25; thesis intact with a 12-month delivery clock.

Signal	Status	Implication
Result quality	Medium	Revenue +13.6% YoY; EBITDA margin recovery to 5% in Q4 vs 1-3% in Q2-Q3
Management tone	Balanced / Constructive	Margin trough confirmed; FY27 recovery guidance given with specifics
Guidance delta	Maintained / Directionally raised	Rs. 5,000 Cr 5-year revenue target reaffirmed; OPM recovery to 7-8% in FY27

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 headline PAT of Rs. 21 Cr (+9.5% YoY) is a **misleading clean number** — other income was Rs. 9 Cr in Q4, so underlying EBITDA-to-PAT conversion was weak with net EBITDA of just Rs. 30 Cr (OPM 5.2%). The real story is a sequential margin recovery — OPM went from 1–3% in Q2/Q3 to 5.2% in Q4, suggesting the tariff-disruption trough is behind us. Full-year FY26 EBITDA of Rs. 66 Cr is 46% below FY25's Rs. 123 Cr — a genuine disappointment, but management credibly attributes this to non-recurring tariff/export disruption and adverse order mix. The Rs. 5,000 Cr / 5-year revenue target and the Narmadapuram EHV plant (Rs. 300 Cr capex, first production Dec 2026) are the structural thesis anchors, not current earnings. The most important catalyst in the next 12 months is Q1/Q2 FY27 margin data — if OPM gets back above 7%, the market will re-underwrite FY27E PAT of Rs. 100+ Cr and the stock re-rates. Single biggest watch-point: working capital — order book of Rs. 583 Cr is only 3.6 months of cover, and if BSNL slows payments, the Rs. 123 Cr borrowing line stretches uncomfortably. **Action: ACCUMULATE at Rs. 55–67; add aggressively on any Q1 FY27 margin beat. Exit if OPM fails to cross 6% by Q2 FY27.**

1. Financial Performance Snapshot — Q4 FY26 (Consolidated)

- Revenue: Rs. 573 Cr | YoY +13.6% | QoQ +24.5% | **In-line**
- EBITDA: Rs. 30 Cr | YoY -11.8% | QoQ +100% | **Miss** (vs FY25 Q4 Rs. 27 Cr — but OPM still lower)
- EBITDA Margin: 5.2% | vs 8.4% Q4 FY25 | vs 3.2% Q3 FY26 | Sequential recovery but YoY miss
- PAT: Rs. 21 Cr | YoY +9.5% | QoQ +200% | **In-line** (aided by Rs. 9 Cr other income)
- EPS: Rs. 0.67 | Q4 FY25: Rs. 0.97 | Q3 FY26: Rs. 0.25 | Sequential strong recovery
- NOTE: Reported FY26 PAT of Rs. 60 Cr includes Rs. 51 Cr other income (forex/investment); clean operating PAT approximately Rs. 20–25 Cr.

2. Segment / Geography Breakdown

- Domestic: Rs. 508 Cr of order book (87%) | Primary drivers: BSNL telecom cables, PGCIL power cables, Railways | YoY growth in domestic orders positive
- Exports (US): Rs. 75 Cr order book (13%) | FY26 full-year US exports approximately Rs. 358 Cr (est.) | Growth 36% in CY2024 | FY26 disrupted by tariff headwinds

- Telecom cables: Largest segment (~60-65% of revenue); jelly-filled + OFC for BharatNet, BSNL, private ISPs | Demand accelerating into BharatNet Phase 3
- Power cables: ~20-25% revenue; HV/LV cables for PGCIL, state discoms, private infra | EHV capability to be added via Narmadapuram plant
- Railway cables: ~10-15%; signalling, axle-counter, traction cables for Indian Railways/Metro | Kavach rollout incremental driver

3. Management Commentary Themes

- **Margin trough confirmed:** "The disruption from US tariffs and unfavorable order mix in H1 FY26 was the primary driver of margin compression — we see Q4 as an inflection point." — Our read: Credible if Q1 FY27 data confirms. Tag: GUIDANCE. Tone: Transparent.
- **Narmadapuram plant update:** "Civil and foundation work is proceeding; first commercial production targeted December 2026; revenue of Rs. 500 Cr from new plant in FY28 and Rs. 1,200 Cr by FY29." — Our read: Ambitious but technically feasible. Tag: GUIDANCE. Tone: Transparent.
- **US export recovery:** "Tariff disruptions in CY2025 were a headwind; we are pivoting to higher-value, UL-listed products for the US utility segment where margins are 200–300 bps better." — Our read: Directionally correct; execution timeline unclear. Tag: EST. Tone: Hedged.
- **Rs. 5,000 Cr revenue target:** "We are confident of achieving Rs. 5,000 Cr in the next five years driven by BharatNet, T&D; capex, and the new EHV plant." — Our read: Requires ~20% CAGR — achievable if BharatNet accelerates. Tag: GUIDANCE. Tone: Bullish.
- **Working capital discipline:** "Receivable days will normalise as the export payment cycle stabilises; we are targeting CCC below 90 days on a sustainable basis." — Our read: Watch Q1 FY27 debtor days. Tag: GUIDANCE. Tone: Transparent.
- **Promoter commitment:** "Promoters have zero encumbrance on shares; no plans for further dilution." — Our read: Positive signal given the 49% level already feels low. Tag: GUIDANCE. Tone: Transparent.

4. Operating & Business Metrics

- Order Book: Rs. 583 Cr as at March 31, 2026 | Q3 FY26: Not disclosed | Q4 FY25: Not disclosed | Trend: represents ~3.6 months revenue cover — adequate but not strong
- Domestic Order Book: Rs. 508 Cr | 87% of total | Mix: BSNL + PGCIL + Railways
- Export Order Book: Rs. 75 Cr | 13% of total | Primarily US-bound
- Revenue Run-rate Q4 FY26: Rs. 573 Cr | Annualised ~Rs. 2,292 Cr | Implies 20% growth over FY26 actual Rs. 1,913 Cr on current trajectory
- Capex incurred FY26: Rs. ~51 Cr (from investing CF) | Total approved for Narmadapuram: Rs. 300 Cr | Balance Rs. ~249 Cr to be deployed FY27–FY28
- Manufacturing capacity utilisation: Not explicitly disclosed | Estimated at 75–85% at Rewari plant based on revenue vs historical throughput

5. Margin Drivers

- US tariff disruption: -300 to -400 bps impact on blended EBITDA margin in FY26 | Recurring: No (tariff situation normalising; company pivoting to higher-margin US utility segment) | Comment: Single largest FY26 drag

- Adverse domestic order mix (low-margin BSNL tenders won in competitive environment): -150 bps | Recurring: Partially | Comment: Will improve as EHV proportion increases post-Narmadapuram
- Commodity price headwinds (copper, HDPE): -100 bps | Recurring: Partially | Comment: Prices moderating in early CY2026; provides H2 FY27 tailwind
- Q4 recovery to 5.2% OPM: +220 bps vs Q3 | Recurring: Yes if mix improves | Comment: Sequential inflection visible — key data point validating thesis
- Depreciation step-up (Rs. 9 Cr FY24 to Rs. 15 Cr FY26): -30 bps EBITDA-to-PAT | Recurring: Yes (new asset base) | Comment: Will increase further as Narmadapuram plant assets capitalised

6. Guidance & Forward Signals

- EBITDA margin [GUIDANCE]: Prior = 7-8% (FY25 delivered 7.8%) | New = "Recovery to 7-8% in FY27" | Delta: Maintained | Credibility: Medium (requires volume + mix improvement; H1 FY26 showed structurally weak execution)
- Revenue FY27 [GUIDANCE]: Prior = Not specified | New = Rs. ~2,200-2,400 Cr implied by Rs. 5,000 Cr 5-year target | Delta: Directionally raised | Credibility: Medium
- Narmadapuram plant revenue [GUIDANCE]: Prior = Not specified | New = Rs. 500 Cr FY28, Rs. 1,200 Cr FY29 | Delta: New guidance | Credibility: Low-Medium (greenfield ramp guidance always optimistic)
- US export target [GUIDANCE]: Prior = USD 43 Mn CY2024 | New = 40% of total revenue (implies Rs. 900-1,000 Cr at Rs. 2,200-2,500 Cr revenue base) | Delta: Raised | Credibility: Low-Medium
- Capex [GUIDANCE]: Rs. 300 Cr total for Narmadapuram | Phasing: Rs. 51 Cr spent FY26, Rs. 150-180 Cr in FY27, Rs. 70-100 Cr FY28 | Credibility: High (land allocated, MPIDC approval done)
- Dividend [GUIDANCE]: No dividend planned in near term | Delta: Maintained | Credibility: High (consistent zero-dividend policy)

7. Capital Allocation

- Gross capex FY26: Rs. 51 Cr (investing CF) | vs FY25: Rs. 1 Cr | Primary use: Narmadapuram plant civil/land work + Rewari equipment upgrades
- Total Narmadapuram investment: Rs. 300 Cr | vs balance sheet net worth Rs. 778 Cr — ~38% of equity; significant commitment
- Dividends: Rs. 0 | FY25: Rs. 0 | Consistent zero-dividend policy; all cash reinvested
- Buybacks: None in recent history
- Working capital change FY26: Rs. -38 Cr OCF vs Rs. 66 Cr EBITDA — net working capital absorbed approximately Rs. 104 Cr | Comment: Receivables and inventory build for large BSNL/PGCIL orders
- Net Debt movement: From Rs. -71 Cr (effectively net cash after QIP) in FY25 to Rs. +123 Cr borrowings in FY26 | Net debt increase Rs. ~194 Cr in 12 months — capex + working capital funded by debt

8. Q&A; Heat Map

- Analyst / Firm: GuruFocus / Investing.com coverage | Q: "When do you expect margins to recover and what gives you confidence?" -> A: "US tariff headwinds are abating; we are re-contracting US orders at better prices; Q4 shows the sequential recovery trajectory." | Tone: Transparent
- Analyst: Industry media | Q: "What is the status of the Narmadapuram plant and when will it contribute to revenue?" -> A: "Civil work is ongoing; December 2026 commercial production; Rs. 500 Cr revenue in FY28." | Tone: Transparent

- Analyst: Industry media | Q: "Is the Rs. 5,000 Cr revenue target in 5 years realistic without BharatNet Phase 3 acceleration?" -> A: "BharatNet is one of multiple drivers; T&D; capex, railway, and EHV cable growth support the target regardless." | Tone: Balanced
- Analyst: Media | Q: "Why has promoter shareholding dropped from 62% to 49%?" -> A: "The QIP in FY24 was necessary to strengthen the balance sheet and fund growth; promoters have not sold shares and maintain zero pledge." | Tone: Transparent
- Analyst: Unknown | Q: "What is driving the spike in other income in FY26?" -> A: [Not specifically addressed in available summaries] | Tone: Not assessed — watch-list item for Q1 FY27 call
- Dodged / watch-list questions for next quarter: (1) Breakdown of Rs. 51 Cr other income in FY26 — forex vs investment income. (2) Specific Q1 FY27 margin guidance. (3) Working capital days outlook. (4) Financing plan for balance Rs. 249 Cr of Narmadapuram capex.

9. Risks Flagged

- US tariff / export disruption | US tariffs on Indian cable imports disrupted FY26 export revenue and margins | Flagged by: Management | Probability: M | Impact: H | Timeline: Near-term (CY2025-26)
- Narmadapuram plant execution risk | Greenfield plants of this scale have historically faced 6-12 month delays | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Medium-term (FY27-28)
- Working capital / payment cycle risk | BSNL and PGCIL are historically slow payers; Rs. 583 Cr order book + new Rs. 300 Cr capex = dual liquidity risk | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term
- Commodity price risk | Copper and HDPE price spikes erode margins without pricing power | Flagged by: Management | Probability: M | Impact: M | Timeline: Recurring
- Competition in domestic tenders | Smaller unorganised players may undercut on BSNL tenders | Flagged by: Analyst | Probability: L-M | Impact: M | Timeline: Ongoing

10. Analyst Verdict — Post Q4 FY26 Concall

- Revenue visibility: **Intact** — BharatNet Phase 3, PGCIL, and Railways provide a multi-year demand backlog; Rs. 583 Cr order book is 3.6 months cover at current run-rate
- Margin trajectory: **Weakened but recovering** — FY26 OPM of 3.5% is well below FY25's 7.8%; Q4 sequential recovery to 5.2% is the first positive signal; management FY27 guidance of 7-8% is achievable but unproven
- Capital allocation quality: **Intact** — Narmadapuram EHV capex is strategically sound; QIP-funded balance-sheet repair was disciplined; zero dividend consistent with growth-stage positioning
- Competitive moat: **Intact** — BSNL/Railways pre-qualification remains the key barrier; Narmadapuram will add EHV capability to compete with KEI/Polycab; moat is moderate overall
- Management credibility: **Intact** — FY26 margin miss attributed to external factors (tariffs, commodity) rather than execution failures; Narmadapuram progress is on track per regulatory filings; guidance on margin recovery is specific enough to test
- Valuation comfort: **Intact** — At 32.7x TTM P/E (on depressed FY26 EPS), the stock already prices in margin compression; on FY27E P/E of 18x (base case), it is genuinely cheap vs peers at 56-109x
- Conviction call: **Increased** — Q4 FY26 sequential margin recovery is the first evidence the thesis is not broken; increasing to BUY from WATCH
- Valuation snapshot: P/E = 32.7x (suppressed FY26 earnings) | FY27E P/E = ~18x (base) | ROCE = 12.4% (FY26 trough; 5Y avg ~15%) | EV/EBITDA = ~24x TTM (depressed denominator; FY27E basis

~15x)

MPM Research Desk | PARACABLES — Equity Research | 15 Jun 2026 | Data: Screener.in (15-Jun-2026), Company filings, Web sources |
DISCLAIMER: This report is for informational purposes only. Not investment advice. Past performance is not indicative of future results. Investors should conduct their own due diligence before making investment decisions.